CSIS KOREA CHAIR

Korea Daily Brief

Sunday, October 18, 2026

No. 207 · 3,246 words · 13 min read

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KOSPI	USD/KRW	BRENT	BOK RATE
5,668.05	1,329.60	$109.86	2.50%
▲ +2.0%	▼ -0.8%	▲ +3.7%	Oct 2026

TODAY AT A GLANCE

1. KCNA confirmed North Korea's underwater test of a new AI-equipped precision-guided torpedo, the sixth DPRK weapons event in October and the first submarine-launched weapons activity confirmed this cycle.
2. USFK Commander Brunson's remark that 'the ROK begins at its southern fence line' triggered a bipartisan Seoul political storm; ROK MND called it a personal view and UNC clarified ROK sovereignty is 'unquestionable.'
3. ROK's trade surplus with the US reached $847B in Jan–Sep 2026, tracking toward a first-ever annual surplus above $1 trillion, while the deficit with China is on course to swing to surplus for the first time in four years.

TOP STORIES

DPRK

North Korea tests AI-equipped precision torpedo underwater — sixth weapons event in October

KCNA reported that North Korea conducted an underwater test of a new precision-guided torpedo equipped with artificial intelligence guidance, described as high-speed. The test is the sixth DPRK weapons event in October, following tactical ballistic missile tests and submarine-launched cruise missile tests earlier this month. **Kim Jong Un** has not been publicly confirmed as present at this test; his last confirmed appearance was October 13.

WaPo / AP / Reuters / Yonhap — Oct 17-18, 2026

US-KOREA

USFK commander's 'southern fence line' remark on ROK sovereignty triggers political storm; MND and UNC distance themselves

USFK Commander **Brunson** told a Washington think tank on October 14 that 'from UNC's perspective, the ROK begins at its southern fence line' — a statement implying the DMZ falls outside ROK sovereignty. The

ROK MND labeled it a 'personal view' and stated its own position on territorial sovereignty is 'firm'; UNC clarified DMZ and JSA responsibilities are 'military and administrative in nature, separate from ROK sovereignty.' The ruling Democratic Party and opposition PPP both called for Brunson to retract and apologize, while 경향신문 editorial asked whether the remark is connected to a deliberate effort to raise the bar for transfer of wartime operational control (OPCON).

뉴시스 — Oct 18, 2026; 경향신문 editorial — Oct 18, 2026

BUSINESS

ROK trade surplus with US approaches $100B annual record; China deficit set to flip to surplus for first time in four years

Korea's trade surplus with the United States reached *$847B* through September 2026, driven by semiconductor, IT devices, and auto exports — tracking toward a first-ever annual figure above $100B and already far exceeding last year's $495B full-year surplus. Simultaneously, the deficit with China is projected to swing to surplus for the first time since 2022, driven by semiconductors, wireless devices, cosmetics, and food exports. MOTIE data note that the large US surplus increases exposure to Section 301 tariff action, while China may respond with critical mineral pressure.

뉴시스 — Oct 18, 2026

OVERNIGHT

BUSINESS	Korean won strengthens on robust exports and increased dollar supply · Yonhap English Won at 1,329.60 as of Oct 18, down 0.85%.
BUSINESS	IMF official: AI boom sustaining South Korea's growth despite global headwinds · Yonhap English IMF official assessed ROK weathering global uncertainties via AI/chip demand.
TECHNOLOGY	KEPCO breach wider than disclosed: 408 facial-recognition credentials and 14,957 CCTV passwords exposed · 뉴시스 Scope concealed in Oct 4 public statement, per Assembly data.
US-KOREA	DP calls for Chief Justice Cho Hee-dae to resign or face impeachment; party split on strategy · 뉴시스 DP cites 7-month Supreme Court vacancy; internal resistance to using impeachment.
US-KOREA	Prosecutor drops charges in 'West Sea shooting' case against Moon Jae-in and senior officials — DP calls it vindication · 뉴시스 Four-year investigation ends with no indictment; DP demands special probe of Yoon-era targeting.
TECHNOLOGY	Coffee chain Hollys hacked — membership data including home addresses stolen in Sep–Oct 2026 breach · 매일경제 All members who joined before Feb 11, 2020 potentially affected.

STAT OF THE DAY

$847B

ROK trade surplus with US, Jan–Sep 2026

ROK's cumulative surplus with the United States through September already far exceeds last year's full-year figure of $495B, putting a first-ever annual $1 trillion surplus in reach — a figure that feeds directly into Section 301 tariff risk calculus.

뉴시스 — '대중·대미 무역수지 4년만에 동반 흑자 유력…美 1000억弗 돌파 목전'

PYONGYANG WATCH · KCNA

KIM JONG UN **WATCH FLAG**

● **No appearance (5d since last)**

TOP KCNA ARTICLES

1. **North Korea tests new AI-equipped precision-guided torpedo — KCNA**
   KCNA confirmed an underwater test of a new high-speed, AI-guided precision torpedo, the sixth DPRK weapons event in October 2026. — KCNA (WaPo)
2. **North Korea tests new AI-equipped torpedo, KCNA says — Reuters**
   Reuters confirmed KCNA's report of the AI-guided torpedo test, describing it as a precision-guidance system fired underwater. — KCNA (Reuters)
3. **North Korea tests new high-precision AI-equipped torpedo: state media — NK News**
   NK News confirmed KCNA's torpedo test report and contextualizes it as the latest in a sustained October weapons testing surge. — KCNA (NK News)

> **Bottom line:** KCNA confirmed a new AI-guided torpedo test — the sixth DPRK weapons event in October — while Kim Jong Un has not made a confirmed public appearance for five days; watch for Kim's next appearance and for any KCNA reaction to Trump's repeated signals about a possible Kim meeting.

● ROK GOVERNMENT

President + Ministries · Sunday, October 18, 2026

대통령실 · BLUE HOUSE / PRESIDENT'S OFFICE

Lee reaffirms opposition to ending live Cabinet meeting broadcasts

President Lee Jae-myung

President Lee Jae-myung stated Sunday he will not end the partial live broadcast of Cabinet meetings, pushing back on criticism that public sessions prevent candid debate; he posted on X that ministers and officials speak freely and that closed sessions always follow.

Primary Yonhap EN ↗

국무총리실 · OFFICE OF THE PRIME MINISTER

PM vows continued efforts to resume inter-Korean dialogue

Prime Minister Han Seong-sook

Prime Minister Han Seong-sook said Sunday the government will continue its push to restart inter-Korean dialogue despite the absence of a DPRK response, reaffirming Seoul's position that the door remains open.

Primary Yonhap EN ↗

국방부 · MINISTRY OF NATIONAL DEFENSE

MND distances itself from USFK commander's 'southern fence line' remark on ROK sovereignty

MND spokesperson

The ROK Ministry of National Defense described USFK Commander Brunson's statement that 'from UNC's perspective, the ROK begins at its southern fence line' as a 'personal view,' reaffirming that Seoul's position on its territorial sovereignty is 'firm'; UNC separately clarified that 'there is no question of ROK sovereignty.'

Primary 뉴시스 ↗

NATIONAL ASSEMBLY

DP floor leader Kim Min-seok signals review of Chief Justice Cho Hee-dae impeachment

Democratic Party leadership

DP floor leader **Kim Min-seok** stated that 'all methods and avenues' to address Chief Justice Cho Hee-dae are under discussion, including impeachment, citing the justice's refusal to re-nominate Supreme Court justices and his refusal to submit related documents to the Assembly; DP spokesperson said impeachment grounds are 'overflowing.' Former Daegu Mayor Hong Joon-pyo (PPP) warned that moving to impeach would put 'the ruling party on the road to collapse.'

Korea Electric Power Corporation (KEPCO) security breach scope revealed — facial recognition and CCTV passwords exposed

National Assembly Climate-Energy-Environment-Labor Committee

PPP lawmaker Yoon Jae-ok revealed that KEPCO's October 4 data breach notification understated the scope: in addition to 24,769 employees' personal details, facial recognition credentials for 408 employees and IP addresses and passwords for 14,957 CCTV units were also exposed on a foreign cloud server; KEPCO said it could not determine how many times the page was accessed.

US-KOREA TRADE & INVESTMENT

Steel and aluminium remain at 50% and autos at 15%, both under Section 232. The Section 122 surcharge expired July 24, leaving no baseline reciprocal tariff. Section 301 investigations launched March 11 against South Korea are now the primary vehicle for any new tariff action. ROK's US trade surplus is tracking toward a first-ever annual figure above $100 billion, amplifying Section 301 risk.

TARIFFS

EXPIRED

Section 122 surcharge lapsed Jul 24; Section 301 now primary tariff vehicle; sector 232 rates still in force.

WATCH THIS DATE
next trigger: Section 301 determination — pending, no fixed date

SECTOR RATES

Steel & Aluminum	SECTION 232	**50%**
Copper	SECTION 232	**50%**
Automobiles & Auto Parts	SECTION 232	**15%**
Timber / Lumber / Wood Derivatives	SECTION 232	**15%**
Semiconductors (advanced logic)	SECTION 232 (PROCLAMATION 11002)	**25%**
Pharmaceuticals	SECTION 232	**up to 15%**
Civil Aircraft & Parts	US-KOREA DEAL EXEMPTION	**0%**
Generic Pharma / Precursors / Rare Natural Resources	ALIGNED PARTNERS LIST	**0%**

INVESTMENT · $350B PLEDGE

$350B pledged · 1 project selected so far, led by Encinal gas-fired power plant, Texas ($22.3B)

FULL TRADE REFERENCE →
All $350B pledge projects, the investment ledger and standing policy measures.

BUSINESS & ECONOMY

MACRO · 동아일보

Finance minister projects 3% growth for 2026, cites semiconductor boom — global rating agencies positive

Finance Minister Lee Hyoung-il told Moody's, Fitch, and S&P in Bangkok on October 16 that Korea is on track for 3%-range growth in 2026, driven by semiconductor export strength and rising capital investment; all three

agencies expressed interest in how Seoul plans to deploy its Future Readiness Fund for additional revenue.

TECH · CNBC

ROK finance minister: semiconductor market solid 'at least through next year'

Finance Minister Lee Hyoung-il told CNBC on the sidelines of the IMF/WB Bangkok meeting that the semiconductor market outlook remains robust through at least 2027, underpinning Korea's growth trajectory.

Samsung Electronics · SK Hynix

TECH · 동아일보

China's CXMT Q3 revenue surges 600% year-on-year — record results on global memory crunch

CXMT disclosed Q3 revenue of approximately 23–24 trillion won, with cumulative net profit through Q3 up *more than eight times* from the same period in 2025, as the global memory supply shortage has lifted prices and benefited both Korean and Chinese producers.

CXMT

NORTHEAST ASIA WATCH

RUSSIA-KOREA · RUSSIA-DIPLOMATIC · 동아일보

Belarus opens first embassy in Pyongyang, announces NK-Russia-Belarus trilateral cooperation push

Belarus opened its first-ever Pyongyang embassy on October 17, following President Lukashenko's March 2026 inaugural state visit to North Korea; both sides concluded a 'friendship and cooperation' treaty. Minsk framed the opening as part of a broader strategy of 'expanding diplomatic presence in distant regions,' and flagged active pursuit of North Korea-Russia-Belarus trilateral cooperation.

CHINA-KOREA · CHINA-DIPLOMATIC · NIKKEI KOREA

Nikkei photo feature: New Yalu River Bridge — China's biggest gateway to Korean Peninsula in 80 years

Nikkei's photojournalism feature documents the opening of the new Sinuiju-Dandong bridge on October 15, describing it as China's largest physical connection to the Korean Peninsula in eight decades. The images show trucks crossing in both directions, providing visual confirmation of the crossing's operationalization reported by Xinhua and AP last week.

PUBLIC SENTIMENT

PRESIDENTIAL APPROVAL

39%

▲ +2 pts vs Oct 6-8

Gallup Korea · October 13-15, 2026

RULING Democratic	OPPOSITION People Power	INDEPENDENTS
36%	27%	29%

42% since Aug 25-27 ↓ 39% across 6 readings

Gallup Korea Spotlight October 13-15, 2026

Presidential approval and party support — weekly poll: President Lee Jae-myung's approval rose two points to 39% in Gallup Korea's October 13-15 poll; Democratic Party support edged up to 36% and People Power Party to 27%, while independents fell to 29%.

Discourse: ROK National Assembly and Korean media trending on USFK Commander Brunson's 'southern fence line' sovereignty remark — bipartisan calls for retraction and apology; 경향신문 editorial frames it as a threat to territorial sovereignty.

ANALYSIS

OFFICIALS ON X

President Lee Jae-myung @Jaemyung_Lee

"Those who have watched the open Cabinet meetings know: ministers, agency heads, commissioners, and even local government leaders all speak freely. I deliberately expanded attendance to broaden policy communication and hear diverse opinions. Closed sessions always follow without exception. It is hard to understand why some pressure us to stop broadcasting, even making false claims that officials cannot speak in open sessions."

Context: President Lee's direct X rebuttal of opposition framing on Cabinet transparency comes amid a broader governance clash also involving the DP's push to impeach the Chief Justice.

View on X →

US Forces Korea @USForcesKorea

"On This Day in 1950, the ROK Army's Capital Division captured Hamhung and Hungnam. Two months later, Hungnam became the site of a historic evacuation of UNC forces and tens of thousands of Korean refugees. We remember their sacrifice."

Context: The @USForcesKorea historical commemoration post arrives on the same day that USFK Commander Brunson's sovereignty remarks about the DMZ are generating bipartisan calls for an apology in Seoul, underscoring the alliance communication tensions.

View on X →

Direct posts by tracked official accounts, attributed as posted. Not independently verified beyond the post.

LJ

Lee Jae-myung
President of the Republic of Korea

"All Cabinet members, as well as heads of agencies, commissioners, and even local government leaders who are not Cabinet members, speak their minds freely. We have deliberately expanded the number of attendees to broaden policy communication and hear diverse opinions. Closed sessions always follow without exception."

Analyst: President Lee posted this directly on X to rebuff opposition pressure to end public Cabinet meeting broadcasts, asserting that transparent governance does not impede free debate — a domestic governance controversy gaining traction amid the DP's push to impeach the Chief Justice.

Source →

HS

Han Seong-sook
Prime Minister of the Republic of Korea

"The government will continue its efforts to resume inter-Korean dialogue."

Analyst: PM Han's statement reaffirms Seoul's standing posture of keeping dialogue open despite the absence of any DPRK response, delivered on a day when KCNA confirmed a sixth DPRK weapons test in October.

Source →

SATELLITE & LOCATION WATCH

4 of 11 sites at elevated or alert status

38 NORTH · OCT 2026 — KOREAN DMZ VERIFICATION GAP

38 North: DMZ carries a structural verification problem

38 North published analysis examining the verification gap in the Korean DMZ — identifying limitations in monitoring military activity and compliance with armistice arrangements. The piece is notable for its timing amid a DPRK testing surge and the ongoing controversy over USFK Commander Brunson's comments on UNC DMZ authority. No specific facility construction or weapons activity is reported from today's imagery.

38 North — The Korean DMZ Has a Verification Problem ↗

ELEVATED ▲

Yongbyon Nuclear Complex

Thermal satellite imagery (Daily NK, Oct 13, 2026) confirms Yongbyon reactors running nonstop. NK News satellite imagery confirms continued expansion of the uranium enrichment facility; construction of a new annex to the original uranium enrichment building began mid-September 2026. IAEA confirmed (Sep 9-10, 2026) a new uranium enrichment facility capable of producing material for up to four additional warheads annually. Apr 2026: Enrichment building expansion complete, new centrifuge hall operational. 5 MWe reactor and IRT-2000 both running.

imagery as of 2026-10-13

ACTIVITY ▲

Sinpo South Shipyard

38 North satellite imagery (Oct 3, 2026) confirms several naval construction projects underway. NK News satellite imagery (Sep 25–26) confirms new warship construction begun at Chongjin Shipyard (east coast) and Nampho Shipyard (west coast) since early July — dual-coast concurrent construction. Hero Kim Kun Ok SLBM submarine exited drydock after 2+ years of fitting-out but still not operational as of May 2025. New submarine construction begun in separate bay.

imagery as of 2026-10-03

ACTIVITY ▲

Punggye-ri Nuclear Test Site

Nov 2025: ROK DIA assessed Tunnel No. 3 is test-ready and a nuclear test can be conducted at any time upon political decision. Site maintained at high readiness since mid-2024. The Sep 9, 2016 fifth nuclear test 10-year anniversary fell earlier this month; post-anniversary period historically carries elevated test risk. CNN/Yonhap reported Sep 18 that nearly 1,400 seismic events have been detected near the site since the 2017 test.

imagery as of 2026-09-18

ALERT ▲

Sinuiju–Dandong (NK-China border)

New Yalu River Bridge officially opened to traffic Thursday, Oct 15, per Xinhua (Oct 14, 2026) — more than a decade after construction was completed. AP and Reuters confirm the opening with trucks crossing in both directions. 38 North satellite imagery (Sep 29, 2026) had shown signs of activity at customs posts on both sides. Sep 21, 2026: ROK Embassy in Beijing confirmed cargo on early crossings consisted of air-conditioning units for the customs building. FT (Oct 17) frames

the bridge as part of North Korea's concurrent strategy to deepen ties with both China and Russia.

imagery as of 2026-10-17

ACTIVITY ▲

Rason SEZ

Chinese travel agents are openly promoting North Korea business trips to Rason and Pyongyang on social media, including factory and company visits, highlighting growing entry opportunities despite the ongoing ban on Chinese tourism (NK News, Oct 15, 2026). Sep 21-22, 2026: NK Pro satellite imagery analysis shows a likely Russian cargo vessel docked at Rason for the first time since May 2026 — a roughly four-month gap after near-continuous activity in 2024-2025. Nov 2025: Chinese businesspeople re-entry to Rason SEZ expanded. Coal exports through Rason at highest levels in years throughout 2025. Arms export berth also active.

imagery as of 2026-10-15

ACTIVITY ▲

Vostochny/Dunai (Russian Far East)

Jan 2026: Arms shipments slowed due to ice — one Russian vessel (likely Angara or Lady R) visited Rason, docked Jan 14 at arms export berth. Cargo routed to Vostochny. Since Sep 2023: 64 voyages by 4 vessels (Angara, Maria, Maya-1, Lady R) delivered ~15,800 containers (~4.2-5.8M munitions) from Rajin to Vostochny/Dunai. Road bridge now open Sep 8, 2026, providing first permanent road route to supplement existing rail. NK News satellite imagery (Sep 18) shows ongoing upgrades to DPRK urban warfare training facilities consistent with troops rotating back from Russia.

imagery as of 2026-09-18

5 other monitored sites: no new imagery in the last 30 days · oldest report 2025-09.

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Washington, D.C.

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